

Distributor Agreement

Effective **May 13, 2026** · Template Version 2.0

This is PACE Technologies' template Distributor Agreement, the basis on which we appoint authorized distributors of our metallographic equipment and consumables. Final terms are negotiated and executed in writing to fit each partner's territory, product mix, and commercial circumstances.

01 Definitions

SUMMARY

Defines the key terms used throughout. The two big ones: 'Products' (PACE equipment and consumables) and 'Territory' (the geographic area named in the cover sheet).

The following terms have the meanings given below. Capitalized terms not defined here have the meanings given in the cover page or in PACE's standard Terms and Conditions of Sale ("PACE Standard Terms").

- **"Agreement"** means this Distributor Agreement, including all Exhibits and any executed amendments.
 - **"Distributor"** means the entity named on the cover page as the appointed distributor.
 - **"Effective Date"** means the date stated on the cover page.
 - **"End Customer"** means the ultimate purchaser or user of a Product within the Territory, other than Distributor.
 - **"List Price"** means PACE's then-current published list price for the applicable Product, in U.S. dollars, as set forth in the Price List (Exhibit B) or as updated by PACE.
 - **"Marks"** means PACE's trademarks, service marks, trade names, logos, and domain names made available to Distributor under this Agreement.
 - **"PACE"** means PACE Technologies Corporation, an Arizona corporation, headquartered at 3601 E. 34th Street, Tucson, Arizona 85713, USA.
 - **"Products"** means the metallographic equipment, consumables, software, firmware, parts, and related services offered by PACE for resale, as identified in the Price List or otherwise designated by PACE in writing.
 - **"Reserved Accounts"** means the End Customers identified in Exhibit A whom PACE may serve directly without obligation to Distributor.
 - **"Territory"** means the geographic area identified on the cover page.
 - **"Trade Laws"** has the meaning given in Section 14.
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02 Appointment and Territory

SUMMARY

Distributor is a non-exclusive authorized distributor in the named Territory. Territory must be outside the United States; PACE handles the US directly. PACE keeps the right to appoint others, sell direct, and serve Reserved Accounts.

Subject to and during the term of this Agreement, PACE appoints Distributor, and Distributor accepts appointment, as a **non-exclusive** authorized distributor of the Products in the Territory. Distributor may resell the Products in the Territory and may use the Marks subject to Section 8.

Territory Restriction. Territory must be outside the United States. PACE retains exclusive rights to distribute and sell Products directly within the United States, including through its own e-commerce site, direct sales personnel, and domestic channel partners (resellers, channel partners, and referral partners) appointed under separate agreements. No appointment under this Agreement extends to the United States, and Distributor shall not solicit orders, open offices, market, or fulfill into the United States.

The appointment is **non-exclusive**. PACE expressly retains the right, in its sole discretion and without obligation or compensation to Distributor, to: (i) appoint additional distributors, resellers, or other channel partners in or outside the Territory; (ii) sell Products directly to End Customers in or outside the Territory, including through PACE's website, online shop, sales personnel, or other channels; (iii) sell directly to Reserved Accounts as defined in Section 3 on any terms PACE determines; (iv) modify, add to, or discontinue any Product at any time; and (v) refuse any order for any reason.

Competing Products. During the Term, Distributor shall not represent, promote, sell, or distribute any product that competes with a Product PACE offers in its catalog (a "Competing Product") without PACE's prior written consent. "Competing Product" means a product in the same metallographic category as a Product PACE offers, including abrasive cut-off saws and wheels, precision wafering saws and blades, mounting presses and mounting consumables, grinder-polishers and abrasive consumables, polishing pads, diamond and final-polishing suspensions, etchants, metallurgical microscopes, and hardness testers. Distributor may freely represent products in adjacent categories that PACE does not offer. If PACE adds a category to its catalog during the Term, PACE shall provide Distributor with twelve (12) months' written

notice to wind down its representation of any Competing Product in that newly added category, after which the restriction in this paragraph applies to it.

Distributor shall not solicit orders or open offices outside the Territory without PACE's prior written consent. Passive sales (sales not actively solicited but resulting from an unsolicited inquiry) are permitted to the extent required by applicable law.

03 Reserved Accounts

SUMMARY

PACE keeps any customer it already has a relationship with, but does not share its customer list. Distributor registers prospective opportunities with PACE before investing serious sales effort; PACE confirms whether the customer is open to Distributor or reserved for direct PACE sales. Reserved = anyone PACE invoiced in the prior 36 months or has an active opportunity with.

Definition. "Reserved Accounts" means each End Customer that, at the time of inquiry: (i) was invoiced by PACE within the prior thirty-six (36) months for any Product or service; or (ii) is the subject of an active sales opportunity in PACE's records (including outstanding quotes, pending purchase orders, or named pipeline opportunities). Reserved Accounts apply regardless of their location within the Territory.

PACE's Rights. PACE reserves the right to sell Products directly to Reserved Accounts, on any terms PACE determines, without obligation to Distributor and without any referral fee, commission, or other compensation. Distributor shall not knowingly solicit sales of Products to Reserved Accounts.

Deal Registration. PACE does not share its customer list. To determine whether a prospective End Customer is a Reserved Account, Distributor shall register material opportunities with PACE before investing significant sales effort or submitting a formal proposal. Registration is made by emailing the prospective End Customer's name, location, and the Products under consideration to pace@metallographic.com. PACE shall respond within five (5) business days with one of: (i) **Approved** — the End Customer is open to Distributor for the registered opportunity, with deal protection against other PACE distributors for one hundred eighty (180) days from approval; (ii) **Reserved** — the End Customer is a Reserved Account and PACE will handle the opportunity directly; or (iii) **Co-engagement** — PACE elects to participate in the opportunity on terms agreed at the time of registration. Distributor's failure to register an opportunity creates no right against PACE if the End Customer later proves to be a Reserved Account. Distributor may accept unsolicited orders from any End Customer; if PACE notifies Distributor that the customer is a Reserved Account, Distributor shall not pursue further sales to that customer absent a registered and Approved opportunity.

SUMMARY

Distributor gets a 25% discount off List Price. PACE can change prices with 60 days' notice. All prices are USD.

Discount. Distributor is entitled to a discount of **twenty-five percent (25%) off List Price** on all qualifying Products. PACE may, in its sole discretion, designate certain Products (such as third-party items, custom builds, or promotional bundles) as ineligible for the discount or as eligible for a different discount, as indicated in the Price List.

Currency. All prices are quoted and payable in **U.S. dollars (USD)** unless otherwise agreed in writing.

Price Changes. PACE may change List Prices at any time. PACE will provide Distributor with at least **sixty (60) days' written notice** of any List Price increase. Orders accepted by PACE before the effective date of a price increase will be honored at the prior price. Orders accepted after the effective date will be invoiced at the new price.

Pricing to End Customers. Distributor is free to determine its own resale prices to End Customers, subject to: (i) PACE's right to publish suggested resale prices or minimum advertised prices ("MAP"); (ii) Distributor's obligation to maintain reasonable consistency with prevailing market conditions; and (iii) Section 9 (Channel Conduct). Distributor shall not represent any resale price as having been set or required by PACE.

Taxes and Duties. All prices are exclusive of sales, use, value-added, excise, customs, withholding, and similar taxes, duties, and governmental charges, all of which are the responsibility of Distributor unless Distributor furnishes a valid exemption certificate prior to invoicing.

05 Annual Purchase Commitment

SUMMARY

Distributor commits to a minimum of \$25,000 USD in net purchases each calendar year. Falling short gives PACE options, not automatic termination.

Distributor shall purchase from PACE Products with an aggregate net invoiced value of not less than **twenty-five thousand U.S. dollars (\$25,000)** in each calendar year of the Term (the "Annual Minimum"). The Annual Minimum is prorated for any partial calendar year at the start and end of the Term.

If Distributor fails to meet the Annual Minimum in any calendar year, PACE may, at its sole option and as its exclusive remedy for the shortfall, elect one or more of the following: (i) continue this Agreement on its current terms; (ii) reduce Distributor's discount tier for the following calendar year; (iii) remove specific Products from Distributor's eligibility; (iv) require Distributor to convert to a Reseller Agreement; or (v) terminate this Agreement on thirty (30) days' notice. PACE's election shall be made in writing.

06 Orders, Payment, and Delivery

SUMMARY

Distributor places purchase orders. Year 1 is pre-pay; Year 2+ is Net-30 with credit approval. PACE's Standard Terms apply to every order.

Standard Terms Apply. Every order placed by Distributor is governed by PACE's then-current [Standard Terms and Conditions of Sale](#), in addition to this Agreement. In the event of a conflict between the two, this Agreement controls as to the matters expressly addressed here; the Standard Terms control as to all other matters relating to the supply of Products. PACE rejects any conflicting terms contained in Distributor's purchase orders, acknowledgments, or other documents.

Order Acceptance. Each purchase order is subject to acceptance by PACE in writing (including by Order Acknowledgment). PACE may reject any order in whole or in part for any reason, including credit, inventory, or trade-compliance concerns.

Payment Terms. During the first twelve (12) months of the Term, Distributor shall make payment in advance ("PIA") for all orders. After the first twelve months, subject to PACE's credit approval, Distributor may receive **Net-30** payment terms. PACE may revoke or modify credit terms at any time upon written notice. Late payments accrue interest at the lesser of 1.5% per month (18% per annum) or the maximum rate permitted by law.

Delivery and Risk. Unless otherwise agreed in writing, delivery is **FCA PACE's facility, Tucson, Arizona** (Incoterms 2020). Title and risk of loss pass to Distributor upon delivery to the first carrier. Distributor is responsible for all freight, insurance, customs duties, and import/export fees beyond that point.

Currency Risk. Currency fluctuations between order acknowledgment and shipment are at Distributor's risk.

Withholding Tax. All amounts payable to PACE under this Agreement are net of any withholding, deduction, or similar taxes that may be imposed by Distributor's jurisdiction or any other authority. If any such withholding is required by law, Distributor shall (i) gross up the payment so that PACE receives the full invoice amount free of any deduction, and (ii) remit the withholding to the relevant tax authority and provide PACE with the official tax certificate. The foregoing does not apply to the extent a tax treaty between the United States and Distributor's

jurisdiction reduces or eliminates the withholding obligation, in which case Distributor shall apply the treaty rate and provide PACE with the corresponding documentation.

07 **Inventory and Demo Equipment**

SUMMARY

Distributor maintains reasonable stock of fast-moving consumables and at least one demo unit of key equipment lines.

Distributor shall maintain a reasonable inventory of fast-moving consumables sufficient to serve normal demand in the Territory and to enable timely fulfillment of routine End-Customer orders. PACE may publish recommended stocking levels from time to time.

Distributor shall acquire and maintain at least one (1) working demonstration unit of each principal equipment line it actively promotes, available for in-person customer demonstrations or trade shows. Demonstration units are purchased at the prevailing distributor discount and remain Distributor's property; they are not eligible for return.

Distributor shall store consumables (particularly etchants, abrasives, and adhesives) in accordance with manufacturer recommendations and applicable Safety Data Sheets, and shall observe expiration dates.

08 Marketing and Trademark License

SUMMARY

Distributor markets the Products in the Territory and gets a non-exclusive license to use PACE marks for that purpose, following brand guidelines.

Marketing Activities. Distributor shall use commercially reasonable efforts to actively promote the sale of Products in the Territory, including by: (i) maintaining a professional website that presents the Products accurately and prominently identifies Distributor as an authorized PACE distributor; (ii) participating in relevant trade shows, conferences, and industry events; (iii) producing or translating marketing collateral as appropriate for the Territory; (iv) generating and qualifying sales leads; and (v) cooperating with PACE on joint marketing campaigns as agreed.

Trademark License. Subject to this Agreement, PACE grants Distributor a non-exclusive, non-transferable, non-sublicensable, royalty-free license, during the Term and within the Territory, to use the Marks solely to advertise, promote, and resell the Products as an authorized PACE distributor.

Brand Guidelines and Quality Control. Distributor shall use the Marks only in accordance with PACE's brand guidelines (provided on request and updated from time to time). Distributor shall: (i) not modify or alter the Marks; (ii) not combine the Marks with any other mark in a manner that suggests a joint venture or co-brand without PACE's prior written consent; (iii) ensure that all uses of the Marks meet a level of quality consistent with PACE's reputation; and (iv) include appropriate trademark notices and attribution. Upon PACE's request, Distributor shall submit samples of its uses of the Marks for review.

Ownership. The Marks remain the sole property of PACE. Distributor acquires no rights in the Marks except the limited license expressly granted here. All use of the Marks by Distributor and all goodwill generated thereby inure to the sole benefit of PACE.

Termination of License. The trademark license terminates automatically upon expiration or termination of this Agreement. Upon termination, Distributor shall cease all use of the Marks within thirty (30) days, including removal from Distributor's website, signage, business cards, and marketing materials.

SUMMARY

Distributor sells via its own branded website only. No Amazon, eBay, AliExpress, or similar marketplaces without written consent. Channel-stuffing and gray-market diversion are prohibited.

Approved Sales Channels. Distributor may sell Products through (i) its own staffed sales offices in the Territory; (ii) its own e-commerce website displaying its own branding and identifying Distributor as an authorized PACE distributor; and (iii) bona fide trade-show and event sales.

Online Marketplaces Prohibited. Distributor shall not list, advertise, or sell Products on any third-party online marketplace (including Amazon, eBay, AliExpress, Alibaba, Mercado Libre, Taobao, or any equivalent) without PACE's prior written consent. PACE may grant or withhold consent in its sole discretion and may revoke consent at any time. This restriction is material; breach is grounds for immediate termination of this Agreement under Section 22.

No Gray-Market Diversion. Distributor shall not knowingly export, re-export, or transship Products outside the Territory, nor sell to any customer Distributor knows or reasonably should know will do so, except as permitted under applicable competition law (passive sales). Distributor shall promptly notify PACE of any suspected diversion.

Minimum Advertised Price (Consumables). Distributor shall not advertise, list, or publish a price for any consumable Product (including abrasives, mounting consumables, polishing pads, diamond and final-polishing suspensions, etchants, and similar items) below PACE's then-current published price for the same item on PACE's e-commerce site at shop.metallographic.com (the "MAP"). MAP applies only to publicly advertised pricing (Distributor's website, marketplaces where permitted, advertisements, catalogs, and printed price lists). MAP does not restrict the actual transaction price Distributor negotiates with an End Customer in a private quote or invoice. MAP does not apply to equipment or to custom-quoted Products. The full MAP requirements are set out in **Exhibit E (MAP Policy — Consumables)**; in the event of a conflict between Exhibit E and this Section, Exhibit E controls. PACE may modify the MAP at any time by updating the e-commerce price or the published policy; changes take effect immediately for new advertising and within fifteen (15) days for existing advertising materials.

Bundling and Modification. Distributor shall not repackage, relabel, modify, or combine Products with third-party products in a manner that obscures PACE's brand or removes hazard or safety information.

10 Warranty Service and End-Customer Terms

SUMMARY

Distributor performs first-line warranty service in the Territory. PACE provides training, parts, and labor reimbursement per Exhibit D. End-Customer terms must be substantially similar to PACE's Standard Terms.

First-Line Service. Distributor shall provide first-line warranty service, including troubleshooting, on-site or in-shop repair, and customer support, for Products sold within the Territory. Distributor shall maintain at least one technician trained and certified by PACE for each principal equipment line Distributor sells.

Training. PACE shall provide initial product and service training to Distributor's designated technicians (typically virtual; on-site training may be offered at PACE's discretion and at Distributor's expense for travel). PACE shall provide refresher training on substantial product updates.

Warranty Reimbursement. For valid warranty repairs performed by Distributor on Products under PACE's standard warranty, PACE shall reimburse Distributor according to **Exhibit D (Warranty Reimbursement Schedule)**, which sets out parts and labor rates, claim documentation requirements, and submission timelines.

Service Levels. Distributor shall acknowledge End-Customer service requests within one (1) business day, target on-site response within five (5) business days, and target completion of routine warranty repairs within twenty-one (21) calendar days, in each case subject to parts availability. Distributor shall escalate complex issues to PACE Technical Support promptly.

End-Customer Terms. Distributor shall include in every sale of Product to an End Customer the protective terms PACE provides as part of its standard partner package (the "Required End-Customer Terms"), covering at minimum: PACE's standard limited warranty, disclaimer of implied warranties, limitation of liability (including exclusion of consequential damages), no third-party-beneficiary status for End Customers vis-à-vis PACE, and end-user compliance with hazardous-materials and Safety Data Sheet handling. Distributor may use its own contracting templates so long as the Required End-Customer Terms are included verbatim or in substantively equivalent language. Distributor shall not extend any express warranty broader than PACE's standard limited warranty, nor make any representation about Product performance, suitability, or features beyond what is contained in PACE's published materials.

Distributor shall make PACE's Safety Data Sheets and product documentation available to End Customers in the Territory's principal language(s) where reasonably possible.

Spare Parts. PACE shall make commercially reasonable efforts to maintain spare-parts availability for Products sold by Distributor for a minimum of **five (5) years** after Product discontinuation. After this period, parts are subject to availability.

Product Recall. PACE has sole authority to determine whether a Product recall, retrofit, or safety bulletin is necessary and to define its scope. If PACE issues a recall affecting Products sold by Distributor, PACE shall notify Distributor in writing, and Distributor shall: (i) within ten (10) business days, notify each affected End Customer in the Territory using messaging approved by PACE; (ii) coordinate the return, retrofit, or replacement of affected Products with End Customers in accordance with PACE's instructions; and (iii) maintain records of recall-related communications and dispositions. PACE shall provide replacement Products or credit at no charge to Distributor or End Customer. PACE shall reimburse Distributor's reasonable, documented out-of-pocket recall costs (return freight, replacement labor at the rates set in Exhibit D, and direct customer-communication expenses), capped at twenty-five percent (25%) of the original net invoice value of the recalled Products. The foregoing is the sole and exclusive cost-allocation framework for recalls; neither party is liable to the other for additional recall-related costs except in the case of gross negligence or willful misconduct.

11 Training and Technical Support

SUMMARY

PACE provides initial and ongoing technical support, training, and documentation.

Distributor pays travel costs for on-site training.

PACE shall provide Distributor with: (i) reasonable virtual product and applications training at no charge; (ii) access to technical documentation, manuals, application notes, and engineering drawings as appropriate; (iii) Tier-2 technical support via email and telephone during PACE's normal business hours; and (iv) timely notice of significant product updates, recalls, or safety bulletins.

On-site training and travel-related expenses (airfare, lodging, meals, ground transportation) for either party are at the requesting party's expense unless otherwise agreed in writing. PACE may offer paid on-site training, advanced certification programs, or sales-enablement workshops on commercial terms.

Distributor shall maintain at least one trained and certified technical contact and one sales contact at all times, and shall promptly notify PACE of any change in either role.

12 Reporting and Business Reviews

SUMMARY

Distributor shares quarterly sales pipeline reports and meets with PACE at least annually for a business review.

Distributor shall provide PACE with a quarterly report (within thirty (30) days of each calendar quarter end) containing: (i) sales activity by Product category in the Territory; (ii) qualified pipeline and forecast; (iii) installed-base updates and notable End-Customer wins; (iv) significant customer feedback, including complaints, returns, and warranty trends; and (v) any material competitive intelligence Distributor is willing to share.

PACE and Distributor shall meet (in person or by video conference) at least once each calendar year for a business review covering performance, joint pipeline, marketing plans, training needs, and any other matters relevant to the partnership.

All information shared in reports and reviews is Confidential Information under Section 17.

Audit Right. Upon at least thirty (30) days' prior written notice, and not more than once in any twelve-month period, PACE may inspect Distributor's books and records related to its activities under this Agreement, including Product purchase records, sales invoices to End Customers, inventory records, sell-through reports, warranty-claim documentation, and advertising materials, to verify compliance with this Agreement (including the Annual Minimum, MAP, channel restrictions, and end-customer-terms obligations). The audit may be conducted by PACE personnel or by an independent auditor retained by PACE, on Distributor's premises during normal business hours. PACE bears the cost of the audit unless it identifies a material discrepancy (defined as an underpayment, channel violation, or compliance shortfall valued at five percent (5%) or more of the Annual Minimum), in which case Distributor shall reimburse PACE's reasonable audit costs and promptly remedy the discrepancy. The twelve-month frequency limit and notice period do not apply where PACE has a good-faith basis to suspect a breach of Section 14 (Export Controls) or Section 15 (Anti-Bribery), in which case PACE may audit on shorter notice.

SUMMARY

Distributor maintains commercially reasonable insurance customary for its size, industry, and jurisdiction. PACE may request a Certificate of Insurance and additional-insured naming.

Distributor shall maintain, at its own expense throughout the Term, commercially reasonable insurance customary for businesses of its size and industry in its jurisdiction, including:

- Commercial General Liability coverage appropriate to Distributor's activities under this Agreement;
- Workers' Compensation as required by applicable law; and
- Commercial Automobile Liability covering owned, hired, and non-owned vehicles, if Distributor's personnel transport Products or visit End-Customer sites.

Upon PACE's reasonable request, Distributor shall provide a Certificate of Insurance evidencing its coverage and, where customarily permitted in its jurisdiction, shall name PACE Technologies Corporation as an additional insured on its general liability policy in connection with the Products. PACE does not require Distributor to carry separate product liability coverage, given PACE's role as manufacturer and the indemnification obligations set forth in Section 20.

SUMMARY

Distributor complies with US export law, sanctions, anti-boycott rules, and end-use restrictions. Restricted-party screening is required on every End Customer.

The Products, software, technology, and technical data made available to Distributor are subject to the U.S. Export Administration Regulations (EAR), the International Traffic in Arms Regulations (ITAR) to the extent applicable, regulations administered by the U.S. Office of Foreign Assets Control (OFAC), and the export-control, sanctions, and import laws of other jurisdictions ("Trade Laws"). Distributor represents, warrants, and covenants on a continuing basis that:

- It is not, and no owner, director, officer, or employee is, a restricted or sanctioned party under any Trade Laws, including the U.S. Specially Designated Nationals List, Denied Persons List, Entity List, or comparable lists of other governments;
- It will not, directly or indirectly, export, re-export, transfer, or divert any Product to any country, region, entity, or individual subject to U.S. embargo or comprehensive sanctions (including, as of the Effective Date, Cuba, Iran, North Korea, Syria, and the Crimea, Donetsk, and Luhansk regions of Ukraine);
- It will conduct restricted-party screening of each prospective End Customer against current government lists prior to delivery and maintain records of such screening for at least five (5) years;
- It will not use, sell, or permit use of the Products in connection with the design, development, production, stockpiling, or use of nuclear weapons, chemical or biological weapons, missile technology, or unauthorized military end uses;
- It will comply with all anti-boycott laws applicable to it, including the U.S. Export Administration Act anti-boycott provisions and Section 999 of the U.S. Internal Revenue Code, and report any boycott request received to PACE within ten (10) business days;
- It will obtain at its own cost any export, re-export, import, or other government authorizations required for its activities under this Agreement; and
- It will provide PACE with End-Use and End-User certifications upon request.

Distributor shall indemnify, defend, and hold harmless PACE from and against any claims, fines, penalties, damages, or costs arising from Distributor's breach of any Trade Laws. PACE

may suspend, delay, or refuse to fulfill any order it believes in good faith may violate Trade Laws, without liability to Distributor.

15 Anti-Bribery and Anti-Corruption

SUMMARY

Distributor follows FCPA, UK Bribery Act, and local laws. No improper payments to government officials. PACE has audit rights.

Distributor shall comply with the U.S. Foreign Corrupt Practices Act, the U.K. Bribery Act 2010, and all other applicable anti-bribery and anti-corruption laws ("Anti-Corruption Laws").

Without limiting the foregoing, Distributor shall not, directly or indirectly:

- Offer, promise, give, or authorize the giving of anything of value to any government official, political party, party official, candidate for public office, or any other person in order to obtain or retain business, secure an improper advantage, or influence official action; or
- Accept any payment, gift, or benefit that would violate applicable Anti-Corruption Laws.

Distributor shall maintain accurate books and records reflecting all transactions involving the Products. Upon reasonable prior notice, PACE may audit Distributor's books and records relating to the Products and this Agreement, at PACE's expense, to verify compliance with this Section.

Distributor shall promptly notify PACE of any actual or suspected breach of Anti-Corruption Laws relating to PACE, the Products, or this Agreement. Material breach of this Section is grounds for immediate termination of this Agreement under Section 22.

Annual Compliance Certification. Annual auto-renewal of this Agreement under Section 22 is conditioned on Distributor's submission of a signed Compliance Certification on PACE's standard form (**Exhibit F**). Distributor shall submit the Compliance Certification within the ninety (90) days preceding the end of each Term year. The Compliance Certification confirms Distributor's continuing compliance with this Section 15 and Section 14 (Export Controls) and discloses any pending or threatened government investigation, charge, or enforcement action against Distributor or its principals relating to anti-corruption, trade compliance, or sanctions matters. If Distributor fails to submit a current Compliance Certification within the specified window, this Agreement does not auto-renew and lapses at the end of the then-current Term, without further notice required from PACE.

SUMMARY

When Distributor handles End-Customer personal data on PACE's behalf, it acts as a processor. PACE's Privacy Policy and a data-processing addendum (where required) govern.

Each party shall comply with applicable data-protection laws, including the EU General Data Protection Regulation (GDPR), the UK GDPR, the California Consumer Privacy Act (as amended), and other applicable U.S. state and foreign privacy laws.

To the extent Distributor processes personal data of End Customers or their personnel on behalf of PACE (for example, in connection with quotes, orders, warranty registration, or technical support routed through PACE's systems), Distributor acts as a processor (under GDPR) or service provider (under CCPA) and shall: (i) process such personal data only on PACE's documented instructions; (ii) implement appropriate technical and organizational security measures; (iii) ensure persons authorized to process personal data are subject to confidentiality; (iv) assist PACE in responding to data-subject requests; and (v) delete or return such personal data on termination. The parties shall execute a data-processing addendum on PACE's standard form upon either party's request.

PACE's [Privacy Policy](#) governs PACE's handling of personal data.

SUMMARY

Both parties protect each other's non-public information for the Term and 5 years after.

Confidential Information. "Confidential Information" means any non-public information disclosed by one party (the "Disclosing Party") to the other (the "Receiving Party") in connection with this Agreement, whether oral, written, or electronic, that is identified as confidential or that a reasonable person would understand to be confidential, including pricing, customer lists, business plans, technical information, drawings, software, financial information, and personal data of customers or personnel.

Obligations. The Receiving Party shall: (i) use Confidential Information solely for purposes of performing this Agreement; (ii) protect Confidential Information with at least the same degree of care it uses for its own information of similar sensitivity and in no event less than reasonable care; (iii) limit disclosure to employees, agents, and advisors who have a need to know and are bound by confidentiality obligations no less protective than these; and (iv) not disclose Confidential Information to any third party without the Disclosing Party's prior written consent.

Exceptions. Confidential Information does not include information that the Receiving Party can demonstrate: (i) was publicly known without breach of this Agreement; (ii) was rightfully known to it without confidentiality obligation prior to receipt; (iii) was independently developed without use of Confidential Information; or (iv) is required to be disclosed by law or court order, in which case the Receiving Party shall, to the extent legally permitted, give the Disclosing Party prompt notice.

Duration. The obligations in this Section apply during the Term and for **five (5) years** after expiration or termination, except that obligations regarding trade secrets continue until the information ceases to be a trade secret. The obligations regarding personal data continue for as long as required by applicable law.

Return. On expiration or termination, or upon the Disclosing Party's request, the Receiving Party shall return or destroy all Confidential Information in its possession, subject to commercially reasonable archival retention and any legal hold.

SUMMARY

PACE owns all IP in the Products and Marks. Distributor gets no rights other than what's expressly licensed. Feedback Distributor gives PACE is PACE's property.

All patents, trademarks, copyrights, trade secrets, know-how, and other intellectual property rights in or relating to the Products, Marks, technical documentation, software, firmware, and PACE materials are and remain the sole and exclusive property of PACE (or its licensors). Distributor acquires no rights except the limited rights expressly granted in this Agreement.

Distributor shall not, and shall not permit any third party to: (i) reverse engineer, decompile, or disassemble the Products or any software or firmware in them, except to the limited extent expressly permitted by applicable law notwithstanding this restriction; (ii) copy or create derivative works; (iii) remove or alter any proprietary notices; (iv) register or attempt to register any of the Marks or confusingly similar marks; or (v) challenge the validity of any PACE intellectual property.

Any feedback, suggestions, or improvement ideas Distributor provides to PACE are non-confidential, and PACE may freely use them without obligation to Distributor.

19 Representations and Warranties

SUMMARY

Each party warrants it has authority to enter the agreement, is legally organized, and isn't a sanctioned party. Distributor adds a few specific reps.

Mutual. Each party represents and warrants that: (i) it is duly organized, validly existing, and in good standing under the laws of its jurisdiction; (ii) it has the right, power, and authority to enter into and perform this Agreement; (iii) execution and performance do not breach any other agreement to which it is a party or any law applicable to it; (iv) neither it nor any owner, director, officer, or employee is a restricted or sanctioned party; and (v) it will perform its obligations in accordance with applicable laws.

Distributor. Distributor additionally represents and warrants that: (i) it has and will maintain the technical capability, financial resources, and personnel to perform its obligations; (ii) it will not make any representations or warranties to End Customers beyond those authorized by PACE in writing; (iii) it will conduct its business in a manner that promotes the reputation of PACE and the Products; and (iv) it will promptly notify PACE of any actual or threatened claim that could affect PACE or the Products.

DISCLAIMER. EXCEPT AS EXPRESSLY STATED HERE OR IN PACE'S STANDARD TERMS, PACE MAKES NO REPRESENTATIONS OR WARRANTIES, EXPRESS OR IMPLIED, INCLUDING THE IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND NON-INFRINGEMENT.

SUMMARY

PACE defends Distributor against IP-infringement and product-defect claims. Distributor defends PACE against claims arising from Distributor's own conduct.

By PACE. Subject to the limits in Section 21, PACE shall defend, indemnify, and hold harmless Distributor and its officers, directors, employees, and agents from and against third-party claims, and pay damages or settlement amounts finally awarded by a court of competent jurisdiction or agreed in a PACE-approved settlement, to the extent such claims arise out of:

- An allegation that a Product, as supplied by PACE and used in accordance with PACE's documentation, infringes a third party's patent, copyright, trademark, or trade-secret rights (an "IP Claim"); or
- Death, bodily injury, or tangible property damage caused by a defect in a Product, to the extent the defect existed when the Product left PACE's facility and was not caused or contributed to by Distributor's modification, misuse, or failure to follow PACE's documentation.

Distributor's Conditions. PACE's indemnification obligations are conditioned on Distributor: (i) promptly notifying PACE of the claim; (ii) giving PACE sole control of defense and settlement; (iii) providing reasonable cooperation at PACE's expense; and (iv) not settling or making admissions without PACE's prior written consent.

IP Mitigation. For IP Claims, PACE may at its option: (i) procure for Distributor the right to continue selling the Product; (ii) modify the Product to be non-infringing; (iii) replace the Product with a non-infringing functional equivalent; or (iv) refund the price paid for the affected Product against its return. PACE has no obligation for IP Claims arising from: combination of the Product with non-PACE items; modification not authorized by PACE; or Distributor's continued use after notice of infringement.

By Distributor. Distributor shall defend, indemnify, and hold harmless PACE and its officers, directors, employees, and agents from and against any third-party claims, damages, fines, penalties, losses, and reasonable costs (including reasonable attorney fees) arising out of or relating to: (a) Distributor's negligence or willful misconduct; (b) Distributor's installation, service, modification, or repair of Products (other than valid warranty service performed in accordance with this Agreement); (c) Distributor's representations to End Customers beyond

those authorized by PACE; (d) Distributor's breach of Trade Laws (Section 14), Anti-Corruption Laws (Section 15), or data-protection laws (Section 16); (e) Distributor's breach of this Agreement; or (f) Distributor's marketing claims, websites, or materials not approved by PACE.

The mutual indemnification obligations in this Section are the sole and exclusive remedies of the parties for the matters addressed here and shall survive expiration or termination of this Agreement.

21 Limitation of Liability

SUMMARY

Each party caps its non-indemnity, non-confidentiality, non-payment liability at the fees paid in the prior 12 months. No consequential damages.

EXCEPT FOR (i) THE INDEMNIFICATION OBLIGATIONS UNDER SECTION 20; (ii) BREACHES OF CONFIDENTIALITY UNDER SECTION 17; (iii) BREACHES OF TRADE LAWS (SECTION 14), ANTI-CORRUPTION LAWS (SECTION 15), OR INTELLECTUAL PROPERTY OBLIGATIONS (SECTION 18); (iv) DISTRIBUTOR'S PAYMENT OBLIGATIONS; OR (v) DAMAGES ARISING FROM A PARTY'S GROSS NEGLIGENCE OR WILLFUL MISCONDUCT, EACH PARTY'S TOTAL AGGREGATE LIABILITY TO THE OTHER ARISING OUT OF OR RELATING TO THIS AGREEMENT, REGARDLESS OF THE THEORY OF LIABILITY, SHALL NOT EXCEED THE GREATER OF (A) THE TOTAL AMOUNTS PAID OR PAYABLE BY DISTRIBUTOR TO PACE UNDER THIS AGREEMENT IN THE TWELVE (12) MONTHS PRECEDING THE EVENT GIVING RISE TO THE CLAIM, OR (B) U.S. \$25,000.

IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR LOST PROFITS, LOST REVENUE, LOSS OF USE, BUSINESS INTERRUPTION, LOSS OF DATA, COST OF SUBSTITUTE GOODS OR SERVICES, OR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, EXEMPLARY, OR PUNITIVE DAMAGES, REGARDLESS OF THE THEORY OF LIABILITY AND EVEN IF SUCH PARTY HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

The limitations in this Section reflect an allocation of risk between the parties and are an essential element of the bargain. They apply notwithstanding any failure of essential purpose of any limited remedy.

SUMMARY

1-year auto-renewing. Either party can exit on 90 days without cause, 30 days for cause (with cure), or immediately for serious breaches.

Term. This Agreement begins on the Effective Date and continues for an initial term of one (1) year. It automatically renews for successive one-year renewal terms unless either party provides written notice of non-renewal at least ninety (90) days before the end of the then-current term.

Termination for Convenience. Either party may terminate this Agreement without cause upon ninety (90) days' prior written notice.

Termination for Cause. Either party may terminate this Agreement for cause upon thirty (30) days' prior written notice if the other party materially breaches the Agreement and fails to cure within the thirty-day notice period. Failure to meet the Annual Minimum is addressed in Section 5.

Immediate Termination. Either party may terminate this Agreement immediately by written notice if the other party: (i) becomes insolvent, makes an assignment for the benefit of creditors, or has a bankruptcy or receivership proceeding commenced against it that is not dismissed within sixty (60) days; (ii) materially breaches its obligations under Sections 14 (Export Controls), 15 (Anti-Bribery), 17 (Confidentiality), or 18 (Intellectual Property); (iii) experiences a Change of Control as defined in Section 23 that the other party reasonably objects to; or (iv) engages in conduct that materially harms the other party's reputation or business.

SUMMARY

Termination ends Distributor's rights to sell, use the Marks, and represent itself as a PACE distributor. PACE provides limited support for sell-through, spare parts, and customer transition.

Upon expiration or termination of this Agreement:

- **Sales rights cease.** Distributor's appointment, the trademark license, and the right to represent itself as an authorized PACE distributor terminate immediately. Distributor shall promptly remove all references to PACE and the Marks from its website, signage, business cards, and marketing materials, and shall provide written confirmation of removal within thirty (30) days.
- **Open orders.** PACE may, at its option, fulfill or cancel orders that have been accepted but not shipped as of the termination date. Payment terms remain unchanged for orders fulfilled after termination.
- **Distributor inventory.** For a period of one hundred eighty (180) days following termination (the "Sell-Through Period"), Distributor may continue to sell its existing inventory of Products to End Customers in the Territory at then-prevailing list price or less, in the ordinary course, in compliance with all surviving obligations of this Agreement. Alternatively, at PACE's option, PACE may repurchase Distributor's then-current inventory of unused, unopened, current-version Products at Distributor's original net invoice cost less an inventory-condition adjustment, freight collect.
- **Spare parts and warranty support.** PACE shall continue to make spare parts available for End Customers in the Territory at then-current pricing for at least two (2) years following termination, to enable Distributor to honor its existing warranty obligations to End Customers. PACE may, at its sole option, assume direct service of the Territory's installed base or appoint another partner; the parties shall cooperate in any such transition.
- **Customer information.** Distributor shall provide PACE with a list of End Customers in the Territory (name, location, Products purchased) and reasonable cooperation in customer-transition activities. Receipt and use of such information by PACE is subject to applicable data-protection law.
- **Confidential Information.** Each party shall return or destroy the other's Confidential Information in accordance with Section 17.

- **Payment.** Any payment obligations accrued prior to termination remain due.

Survival. The following Sections survive expiration or termination: 1 (Definitions), 14 (Export Controls), 15 (Anti-Bribery), 16 (Data Protection), 17 (Confidentiality), 18 (Intellectual Property), 19 (Representations, as to accrued claims), 20 (Indemnification), 21 (Limitation of Liability), 23 (Effect of Termination), 25 (Dispute Resolution), 26 (Governing Law), and 27 (General).

Except for the obligations expressly identified as surviving, neither party shall have any further obligation to the other arising out of this Agreement. Termination shall not constitute a release of either party from any obligation accrued prior to termination, nor a waiver of any remedy for breach.

24 Change of Control

SUMMARY

If Distributor undergoes a change of control (acquired by, or merging with, another entity, especially a PACE competitor), PACE can terminate.

"Change of Control" means any transaction or series of transactions resulting in (i) a transfer of more than fifty percent (50%) of the voting equity interests of Distributor; (ii) the sale, lease, or other disposition of all or substantially all of Distributor's assets; or (iii) a merger, consolidation, or reorganization in which Distributor is not the surviving entity.

Distributor shall give PACE written notice of any proposed or actual Change of Control as promptly as legally permitted, and in any event not later than fifteen (15) days after the closing of any Change of Control. If the acquirer or successor competes with PACE in the metallographic equipment or consumables markets, or otherwise would, in PACE's reasonable judgment, materially impair Distributor's ability or willingness to perform this Agreement, PACE may terminate this Agreement immediately upon written notice without further liability.

SUMMARY

Negotiation first (30 days); then binding arbitration in Tucson under AAA Commercial Rules. Class actions waived. Either side may go to court for emergency IP, confidentiality, or trade-compliance relief.

(a) Negotiation. The parties shall attempt in good faith to resolve any dispute, controversy, or claim arising out of or relating to this Agreement (each, a "Dispute") through mutual negotiation between senior representatives of each party for a period of at least thirty (30) days before initiating arbitration.

(b) Binding Arbitration. Any Dispute not resolved by negotiation shall be resolved by final and binding arbitration administered by the American Arbitration Association ("AAA") under its **Commercial Arbitration Rules** in effect at the time the arbitration is commenced. The seat of arbitration shall be **Pima County, Arizona, USA**; the language of arbitration shall be **English**; the tribunal shall consist of one (1) arbitrator. The arbitrator's award shall be final and binding, and judgment on it may be entered in any court of competent jurisdiction.

(c) Class Action Waiver. ALL DISPUTES SHALL BE ARBITRATED ON AN INDIVIDUAL BASIS ONLY. THE PARTIES EXPRESSLY WAIVE ANY RIGHT TO PARTICIPATE AS A REPRESENTATIVE OR MEMBER OF ANY CLASS, COLLECTIVE, CONSOLIDATED, OR MASS ACTION, OR TO ACT AS A PRIVATE ATTORNEY GENERAL. The arbitrator may not consolidate Disputes involving more than one customer or partner of PACE.

(d) Jury Trial Waiver. If any Dispute proceeds in court rather than arbitration, EACH PARTY KNOWINGLY, VOLUNTARILY, AND IRREVOCABLY WAIVES ANY RIGHT TO A TRIAL BY JURY. Exclusive court venue is the state or federal courts located in Pima County, Arizona.

(e) Equitable Relief. Notwithstanding the foregoing, either party may seek temporary, preliminary, or permanent injunctive or other equitable relief in any court of competent jurisdiction to prevent or restrain a breach of (i) intellectual-property rights, (ii) confidentiality obligations, or (iii) export-controls or anti-bribery obligations under Sections 14 and 15, without first proceeding to arbitration and without posting a bond where permitted by law.

(f) Fees. Each party shall bear its own attorney fees and costs, except that the arbitrator may award reasonable attorney fees and costs to PACE in connection with any action to enforce

Distributor's payment obligations or to remedy a breach of Sections 14, 15, 17, or 18.

26 **Governing Law**

SUMMARY

Arizona law, no conflict-of-law rules. The UN Convention on Contracts for the International Sale of Goods does not apply.

This Agreement is governed by and construed in accordance with the laws of the State of Arizona, U.S.A., without regard to its conflict-of-law principles. The United Nations Convention on Contracts for the International Sale of Goods does not apply to this Agreement.

SUMMARY

Standard wrap-up: notices, assignment, no third-party beneficiaries, severability, language, entire agreement, force majeure.

(a) Entire Agreement. This Agreement (including the cover page and all Exhibits) and any signed written amendments constitute the entire agreement between the parties regarding its subject matter, and supersede all prior or contemporaneous agreements, negotiations, representations, and proposals, whether written or oral, relating to that subject matter.

(b) Amendments. No amendment is effective unless in writing and signed by duly authorized representatives of both parties. An exchange of e-mails alone does not constitute a writing for this purpose.

(c) Waiver. A waiver of any breach or default is not a waiver of any subsequent breach or default. Waivers must be in writing.

(d) Assignment. Distributor may not assign or transfer this Agreement or any rights or obligations under it, by operation of law or otherwise, without PACE's prior written consent. Any attempted assignment in violation of this Section is void. PACE may assign this Agreement in connection with a merger, acquisition, reorganization, financing, or sale of all or substantially all of its assets.

(e) Notices. All legal notices must be in writing and delivered: (i) to PACE, at 3601 E. 34th Street, Tucson, Arizona 85713, USA, Attn: General Counsel, with a copy to pace@metallographic.com; and (ii) to Distributor, at the address shown on the cover page or otherwise notified in writing. Notice is deemed given on personal delivery, on receipt of a delivery confirmation from an internationally recognized courier, or three (3) business days after dispatch by certified mail or e-mail to the addresses above.

(f) Force Majeure. Neither party is liable for failure or delay caused by circumstances beyond its reasonable control, including acts of God, war, terrorism, pandemic, epidemic, government action, embargo, supplier delays, labor disputes, cyberattack, or utility outages. The affected party shall promptly notify the other and resume performance as soon as practicable. Either party may terminate the affected portion of this Agreement, without further liability, if the force-majeure event continues for more than ninety (90) days.

(g) Relationship of Parties. Distributor is an independent contractor. Nothing in this Agreement creates an agency, partnership, joint venture, employment, or franchise relationship. Neither party has authority to bind the other or to make representations on the other's behalf.

(h) No Third-Party Beneficiaries. This Agreement confers no rights or remedies on any person or entity other than the parties and their permitted successors and assigns.

(i) Severability. If any provision of this Agreement is found by a court or arbitrator to be invalid, illegal, or unenforceable, the remaining provisions shall continue in full force, and the invalid provision shall be modified to the minimum extent necessary to make it valid while preserving the original intent of the parties.

(j) Language. This Agreement is executed in English. Any translation is for convenience only; the English version controls.

(k) Counterparts. This Agreement may be executed in counterparts (including by electronic signature), each of which is an original and all of which together constitute one instrument.

SUMMARY

Where the parties sign and the list of attached exhibits (Reserved Accounts, Price List, Brand Guidelines, Warranty Reimbursement).

Exhibits. The following Exhibits are incorporated into and form part of this Agreement:

- **Exhibit A:** Not used (Reserved Accounts are defined and administered under Section 3 by deal registration; no list is shared)
- **Exhibit B:** Price List and Discount Schedule
- **Exhibit C:** Trademark and Brand Usage Guidelines
- **Exhibit D:** Warranty Reimbursement Schedule
- **Exhibit E:** [Channel Minimum Advertised Price Policy](#)
- **Exhibit F:** [Annual Compliance Certification \(Anti-Corruption and Trade Compliance\)](#)

Execution. By signing below, each party acknowledges that it has read this Agreement, understands it, and agrees to be bound by its terms.

PACE Technologies Corporation

Signature: _____

Printed Name: _____

Title: _____

Date: _____

[DISTRIBUTOR LEGAL NAME]

Signature: _____

Printed Name: _____

Title: _____

Date: _____

